

Fuel Tender Specification

RFP framework for jet-fuel supply negotiations

JK & ASSOCIATES

Use this framework to structure a competitive fuel-supply tender. It sets out the terms that matter most to unit-cost outcomes, based on JK's negotiation experience across East African carriers. It does not replace legal review of the resulting contract.

1. Scope of supply

- Airports / stations covered, with into-plane provider named per station
- Estimated annual uplift (litres) per station and total
- Contract term (recommend 12–24 months with a review point)
- Minimum/maximum volume commitments, if any

2. Commercial terms to specify

- **Index basis** — Platts (specify grade/basis) or local posted price
- **Differential structure** — fixed vs. sliding-scale by volume
- **Into-plane fee** — quoted separately from the differential
- **Payment terms** — credit days, currency, FX risk allocation
- **Taxes & levies** — confirm what is/isn't included

3. Evaluation criteria (suggested weighting)

- All-in price at forecast volume — 40%
- Supply reliability / into-plane coverage — 25%
- Credit terms & working-capital impact — 15%
- Hedging flexibility & price-risk tools offered — 10%
- Contingency / force-majeure provisions — 10%

4. Risk & hedging provisions

- Right to hedge independently vs. supplier-managed hedging
- Price-cap or collar options and their cost
- Force-majeure and supply-disruption remedies
- Benchmark audit rights (right to verify index pricing)

5. Timeline template

- Week 1–2: RFP issued to shortlisted suppliers
- Week 3–4: Bids received, technical evaluation
- Week 5: Commercial negotiation with top 2 bidders
- Week 6: Award and contract execution